

4. Profitability Ratio

Profitability ratio tells us how profitable are the company's operations. There are plenty of ratios that can help us analyze the profitability of the Company- Gross profit margin, EBITDA margin, EBIT margin, PBT margin, and PAT margin or the Net margin.

Revenue (Sales)	6410
(-) Cost of goods consumed	(4800)
Gross Profit	1610
(-) Employee Benefit Expenses	(161)
(-) Marketing Expenses (Other)	(1012)
EBITDA (Earnings before Interest, Taxes, Dep., Amort.)	438
(-) Depreciation Expenses	(93)
(-) Amortization Expenses	
EBIT (Earnings before Interest, Taxes)	345
(-) Interest (Finance Costs)	(136)
PBT (Profit Before Taxes)	209
(-) Tax Expenses	(47.7)
PAT (Profit After Taxes) + OCI (Other Comprehensive Expenses)	242

.1 Gross Profit Margin

It is the profit the business makes from the sale of its products alone after deducting direct costs like cost of goods sold. Think of it as the markup. Markup means how much a company charges over and above the cost of its product.

Formula: **Gross Profit** / **Revenue**

$$\text{Gross Profit Margin} = \frac{(6410 - 4800)}{6410} = 25\%$$

Next when we reduce the employee benefit expenses and the marketing expenses we will get the EBITDA. After that when depreciation and amortization expenses are deducted, we will reach EBIT, and consequently when finance costs(interest expenses) are deducted, that will give us the PBT.